



wrong. So to justify it he buys more stock and takes solace in that he is bringing down his cost of purchase. The housewife goes through the ordeal because she is already enrolled. She does not consider the extra time, energy and money, by way of transportation, she will spend to fulfil the original wrong choice. The student takes his graduation because he has already completed three years. Would he really learn much when he is not interested in the subject? The businessman should have recognised that there is something like the economic life of a car. Rather, he chose to continue spending on repairs, as every time a new expense came up he thought of the previous repair costs and thus went on and on. The teenager has already spent on the book so he will finish it howsoever boring and time consuming it is. The day trader operates a business he knows will fail, but since he has already incurred fixed expenses he will keep going.

Each of them had a choice. To do or not to do. However, they continued doing what they don't like because they wanted to justify their previous actions. Also, they did not want to appear wasteful and incompetent in their financial decisions.

But sunk cost fallacy can also help us in a positive way. For example, a person joins a gym vowing to work out regularly. Instead of paying daily charges if he were to take a yearly membership, the sunk cost fallacy would help him to be regular, as he has already expended the year's fees. This serves as a motivation to keep going.



Impact of Sunk Cost Fallacy

1. *Averaging Cost of Purchase:* Generally, when investors go wrong in their purchase of stock they buy more at every fall. They believe that this will bring down the cost of their purchase. There is nothing wrong in that, provided they are confident that the stock has great value. But if they buy only to justify past actions, then they are prone to sunk cost fallacy.
2. *Spending on Repairs:* Two years ago you painted your old car. Last year you replaced the tyres and changed the suspension.